

- **Interior paint.** Yes, this makes the list. Why? Because it's so cheap that it's basically a no-brainer. A gallon of paint costs about \$30, and a just few gallons can change the entire look of the home. Try to stick to more neutral colors for the best resale value.
- **New flooring.** The cost of this project can vary wildly depending on what materials you choose, and the value it will add depends on what type of flooring you're replacing. If you're able to upgrade stained carpet to something like laminate flooring, you're adding big bucks to that home's value. Some old homes have hardwood *under* the carpet, though there's no guarantee it will be in good shape. If you're able to refinish pre-existing hardwood, that's much cheaper than putting in new floors.
- **Landscaping and exterior paint.** It's all about curb appeal. Again, the cost of these projects varies depending on the lot size and type of home, but they usually are worth what they cost. The face of your home is what will attract buyers, and curb appeal is touted as an important feature for sellers and buyers alike.

By looking for an outdated home, you are choosing a different path than most of your peers. Most buyers react emotionally to a home's appearance. They're looking for perfection, and they want it now. They turn up their noses at walls that are painted anything but muted, agreeable gray. They won't even look at flooring unless it's polished, dark-stained hardwood. With an open mind and an eye toward the future, you can best their short-sightedness with a healthy dose of forced appreciation. Purchase that otherwise unwanted house at a discount, and turn it into the beauty that everyone wanted it to be. You'll enjoy significant savings when you buy—and a huge bonus when you sell.

APPRECIATION AND TAXES

Bear with us, because this section may be...taxing.

If you survived that joke without putting down this book, congratulations! You appreciate us, we appreciate you, and now you get a great appreciation tip: Building home equity can be an extremely tax-